Corporate Risk Overview

Consumer Plastics | Engineering Compounds | Industrial Resins | Packaging Films | Specialty Chemicals

Receivables (₹cr)	Overdue %	90+Days (₹cr)	Crude Unhedged %	Lowest Coverage	FX Unhedged (₹cr)
287.4	32.2%	43.6	54%	0.55	59.7

Business Unit	Overdue %	90+Days (₹cr)	Lowest Coverage	Months <1	Avg Quick Ratio	Crude Unhedged %	FX Unhedged (₹cr)
Industrial Resins	55.1%	16.3	0.55	4	1.50	78%	27.5
Packaging Films	31.8%	12.3	4.21		2.45	26%	11.4
Specialty Chemicals	21.0%	4.8	4.06		1.99	56%	7.6
Consumer Plastics	20.4%	6.7	2.64		1.88	50%	1.1
Engineering Compounds	17.7%	3.6	0.91	1	1.58	67%	12.1

Findings

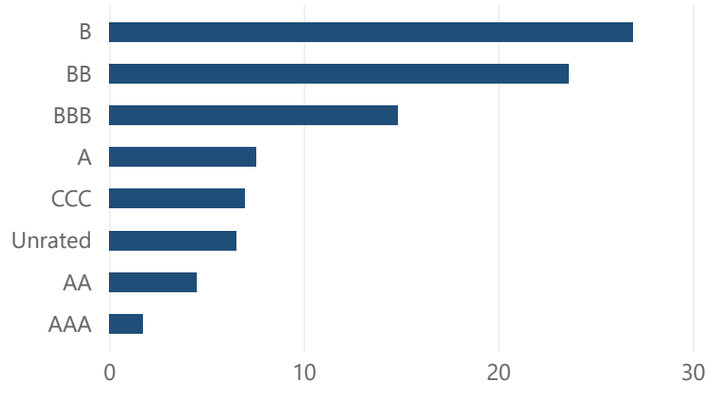
- **Industrial Resins is red on all three risks:** 55% of its receivables are overdue, its cash cover fell to 0.55 (below 1.0 in four months), and 78% of its oil purchases are unhedged.
- **Engineering Compounds is red on liquidity** (cover 0.91) **and market risk** (67% of oil unhedged). **Packaging Films is red on credit only** (32% overdue). Specialty Chemicals and Consumer Plastics have no red flags.
- **Company-wide:** ₹92.6 crore of the ₹287.4 crore owed is overdue (32%), ₹43.6 crore of it is more than 90 days old, 54% of crude buying is unhedged, and ₹59.7 crore of foreign-currency receivables is unhedged.

Red/yellow/green limits are assumed (overdue ≥ 30%, cash cover < 1.0, crude unhedged ≥ 60%). Company data is synthetic; market prices are real (FRED).

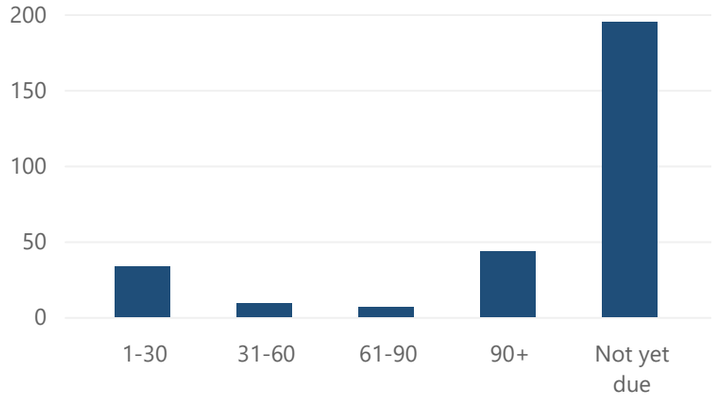
Credit & Liquidity Risk

Consumer Plastics | Engineering Compounds | Industrial Resins | Packaging Films | Specialty Chemicals

Overdue by Credit Rating



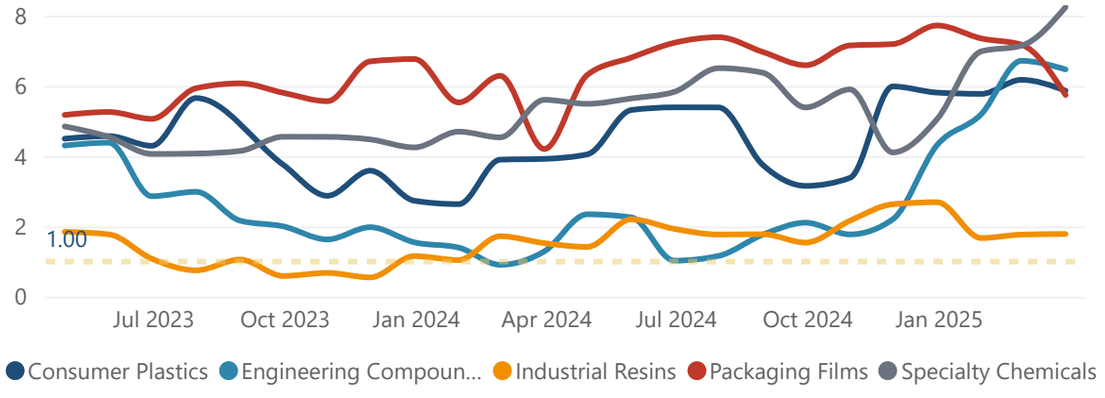
Aging of Open Balance



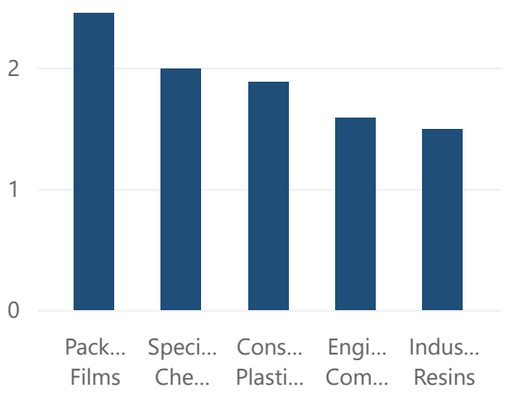
Top 10 Customers by Overdue



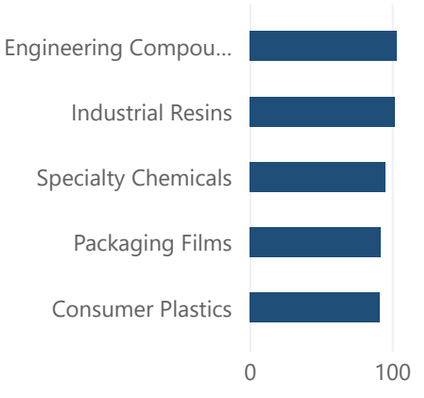
30Day Cash Coverage by Unit



Avg Quick Ratio by bu_name



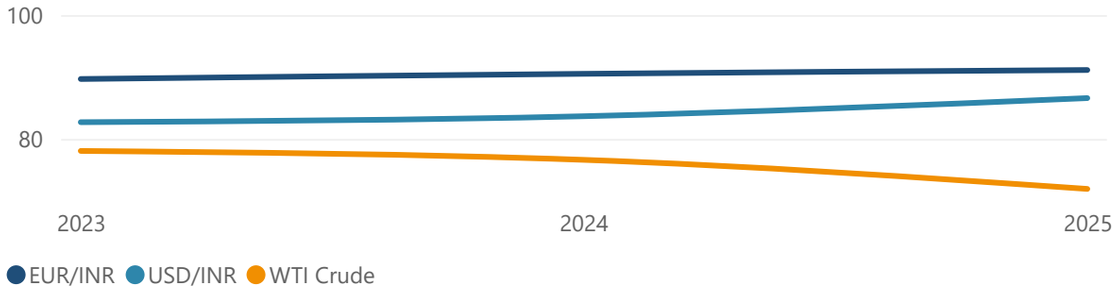
Average Cash Converstion Cycle



Market Risk

Consumer Plastics | Engineering Compounds | Industrial Resins | Packaging Films | Specialty Chemicals

Asset Price Over Time



Metric	Sum of USD/INR	Sum of EUR/INR	Sum of WTI Crude
1-day 95% VaR, worst fall	0.24%	0.60%	3.20%
1-day 95% VaR, worst rise	0.23%	0.67%	2.91%
Annualised volatility	2.45%	6.48%	29.48%
Daily volatility	0.15%	0.41%	1.86%

Crude Unhedged %

54%

Hedge Result USDm

-1.4

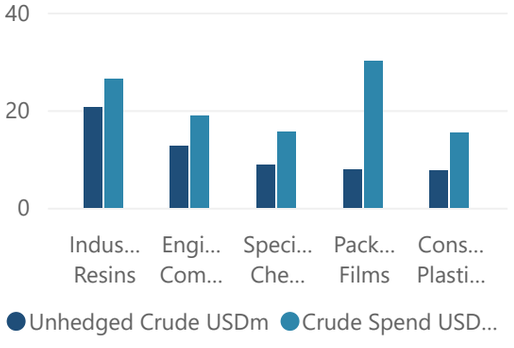
Extra Crude Cost USDm

1.44

FX Loss (₹cr)

2.39

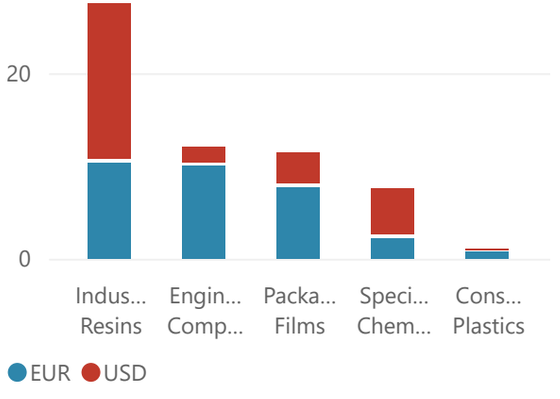
Crude Spend vs Unhedged



Hedge Result by Unit



FX Unhedged (₹cr) by Currency



Stress Test Label

Oil Shock

5.0%

INR Strength

4%

Findings

Credit Risk

Overdue money sits with weak customers and one unit.

- Industrial Resins has 55% of its balance overdue (₹37.6 cr), against 18–32% elsewhere.
- B, BB and CCC customers hold 62% of overdue money, yet are 27% of customers.
- ₹43.6 cr (47% of overdue) is more than 90 days old.
- 17 customers exceed their limit by ₹50.7 cr, all rated BB or worse or unrated.

Action: tighten limits and terms for B and below, escalate 90+ day invoices, and enforce limits.

Liquidity risk

Two units came close to a cash squeeze.

- Industrial Resins' 30-day cover fell below 1.0 in four months (low 0.55, Nov 2023).
- Engineering Compounds dipped once (0.91, Feb 2024).
- Cash takes 92–104 days to return, driven by slow customer payment (DSO 66–84 days).

Action: speed up collections in these two units and keep a minimum cover buffer.

Market risk

Oil is the bigger risk, and it is mostly unprotected.

- Oil swings 29% a year, against 2.5% for USD/INR.
- 54% of crude buying is unhedged; Industrial Resins leaves 78% open.
- ₹59.7 cr of foreign receivables is unhedged; the euro share is the largest (₹31.0 cr).
- A 10% oil rise costs about $2.9m extra a year on unhedged buying.

Action: hedge more crude in Industrial Resins and Engineering Compounds, and hedge the euro receivables.

Industrial Resins is red on all three risks, and Engineering Compounds on two.

Note: Limits for red/yellow/green are assumed. Company data is synthetic; market prices are real (FRED).